ECON GR6307:
Public Economics and Development
Reading List

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Readings in bold and marked with ** are *absolutely* required readings. Readings marked with *(M/DD) are the summary readings for that week's lecture. Each week you should prepare a 6-slide summary (excluding the title slide) of the paper and bring it with you on a USB drive. I will randomly call on someone to present their summary each week. NB the randomization will be with replacement, so don't think that you can't be called more than once! The summary should take the form of a general overview outlining why the paper is interesting/important, how the authors approached their question, the methods/data they used, and their main results (copy the tables into your slides).

1 Applied Welfare Analysis

In public economics we often want to make normative statements about the social desirability of policies, and quantify tradeoffs between policies. This section presents the modern tools public economists use to do this.

For 1/20, please read Hendren & Sprung-Keyser (2020). Instead of preparing a summary of the paper (I'll go over it in the lecture), pick a policy that interests you and go through all the steps of how its MVPF is calculated. You can find all the ones in the paper plus a whole lot more that peo-

ple have worked out MVPFs for since then at https://www.policyimpacts.org/policy-impacts-library. Then prepare slides on that, with your own take on the ingredients of the MVPF.

1. R. Chetty. 2009a. "Is the Taxable Income Elasticity Sufficient to Calculate Deadweight Loss? The Implications of Evasion and Avoidance". *American Economic Journal: Economic Policy* 1 (2): 31–52.

2. **Raj Chetty. 2009b. "Sufficient Statistics for Welfare Analysis: A Bridge Between Structural and Reduced-Form Methods". *Annual Review of Economics* 1:451–488.**$^{**}(1/27)$

3. Martin Feldstein. 1999. "Tax Avoidance and the Deadweight Loss of the Income Tax". *Review of Economics and Statistics* 81 (4): 674–680.

4. **Amy Finkelstein and Nathaniel Hendren. 2020. "Welfare Analysis Meets Causal Inference". NBER working paper 27640. Forthcoming, Journal of Economic Perspectives.**$^{**}(1/20)$

5. Henrik Kleven. 2018. "Sufficient Statistics Revisited". Mimeo: Princeton University.

6. Nathaniel Hendren. 2016. "The Policy Elasticity". In *Tax Policy and the Economy, 30*.

7. Nathaniel Hendren. 2020. "Measuring Economic Efficiency Using Inverse-Optimum Weights". *Journal of Public Economics* 187.

8. Nathaniel Hendren and Ben Sprung-Keyser. 2020. "A Unified Welfare Analysis of Government Policies". *Quarterly Journal of Economics* 135 (3): 1209–1318.$^{*}(1/27)$

9. Nathaniel Hendren and Ben Sprung-Keyser. 2022. "The Case for the MVPF in Empirical Welfare Analysis". Mimeo: Harvard University.

10. Emmanuel Saez and Stefanie Stantcheva. 2016. "Generalized Social Marginal Welfare Weights for Optimal Tax Theory". *American Economic Review* 106 (1): 24–45

11. Joel Slemrod and Shlomo Yitzhaki. 1996. "The Costs of Taxation and the Marginal Efficiency Cost of Funds". *IMF Staff Papers* 43 (1): 172–198

12. Joel Slemrod and Shlomo Yitzhaki. 2001. "Integrating Expenditure and Tax Decisions: The Marginal Cost of Funds and the Marginal Benefit of Projects". *National Tax Journal* 54 (2): 189–201

2 Taxation

Tax systems in rich countries look very different from those in poor countries. How should tax systems be designed in the presence of high levels of tax evasion and informality? How much tax evasion is there? How can governments reduce tax evasion?

2.1 Taxation in Developing Countries: Overviews

1. Pierre Bachas, Matthew Fisher-Post, Anders Jensen, and Gabriel Zucman. 2023. "Globalization and Factor Income Taxation". NBER WP 29819.*$(2/3)$

2. Pierre Bachas, Anders Jensen, and Lucie Gadenne. 2024. "Tax Equity in Low- and Middle-Income Countries". *Journal of Economic Perspectives* 38 (1): 55–80.

3. T. Besley and T. Persson. 2009. "The origins of state capacity: Property rights, taxation and politics". *American Economic Review* 99:1218–1244.

4. T. Besley and T. Persson. 2011. *Pillars of prosperity: The political economics of development clusters*. Princeton: Princeton University Press.

5. **T. Besley and T. Persson. 2013. "Taxation and Development". In *Handbook of Public Economics volume V*, ed. by A Auerbach, R Chetty, and M Feldstein.**$^{**}(2/3)$

6. R. Boadway and M Sato. 2009. "Optimal Tax Design and Enforcement with an Informal Sector". *American Economic Journal: Economic Policy* 1 (1): 1–27.

7. Anne Brockmeyer, Giulia Mascagni, Vedanth Nair, Mazhar Waseem, and Miguel Almunia. 2024. "Does the Value-Added Tax Add Value? Lessons from Administrative Data from a Diverse Set of Countries". *Journal of Economic Perspectives* 38 (1): 107–132.

8. R. Burgess and N. Stern. 1993. "Taxation and Development". *Journal of Economic Literature* 31 (2): 762–830.

9. R Gordon and W Li. 2009. "Tax Structures in Developing Countries: Many Puzzles and a Possible Explanation". *Journal of Public Economics* 93:855–866.

10. R La Porta and A Shleifer. 2014. "Informality and Development". *Journal of Economic Perspectives* 28 (3): 109–126.

11. Oyebola Okunogbe and Gabriel Tourek. 2024. "How Can Lower-Income Countries Collect More Taxes? The Role of Technology, Tax Agents, and Politics". *Journal of Economic Perspectives* 38 (1): 81–106

2.2 Tax Evasion: Theory and Evidence from Rich Countries

1. A. Advani, W. Elming, and J. Shaw. 2020. "The Dynamic Effects of Tax Audits". Mimeo: Warwick University.

2. MG Allingham and A Sandmo. 1972. "Income Tax Evasion: A Theoretical Analysis". *Journal of Public Economics* 1:323–338.

3. A. Alstadsæter, N. Johannesen, and G. Zucman. 2019. "Tax Evasion and Inequality". *American Economic Review* 109 (6): 2073–2103.

4. A. Alstadsæter, N. Johannesen, and G. Zucman. 2018. "Tax Evasion and Tax Avoidance". Mimeo: UC Berkeley.

5. J. Andreoni, B. Erard, and J. Feinstein. 1998. "Tax Compliance". *Journal of Economic Literature* 36:818–860.

6. **N. Artavanis, A. Morse, and M. Tsoutsoura. 2016. "Measuring Income Tax Evasion using Bank Credit: Evidence from Greece". *Quarterly Journal of Economics* 131 (2): 739–798.**$^{**}(2/10)$

7. William C. Boning, Nathaniel Hendren, Ben Sprung-Keyser, and Ellen Stuart. 2023. "A Welfare Analysis of Tax Audits Across the Income Distribution". Mimeo: Harvard University

8. N. Dwenger, H.J. Kleven, I. Rasul, and J. Rincke. 2016. "Extrinsic and Intrinsic Motivations for Tax Compliance: Evidence From a Field Experiment in Germany". *American Economic Journal: Economic Policy* 8 (3): 203–32.

9. John Guyton, Patrick Langetieg, Max Risch, Daniel Reck, and Gabriel Zucman. 2021. "Tax Evasion at the Top of the Income Distribution: Theory and Evidence".$^{*}(2/10)$

10. H.J. Kleven, M. Knudsen, C. Kreiner, S. Pederson, and E. Saez. 2011. "Unwilling or Unable to Cheat? Evidence from a Tax Audit Experiment in Denmark". *Econometrica* 79 (3): 651–692.

11. J. Slemrod. 2007. "Cheating Ourselves: The Economics of Tax Evasion". *Journal of Economic Perspectives* 21:25–48.

12. J. Slemrod. 2017. "Tax Compliance and Enforcement". *Journal of Economic Literature* 57 (4): 904–954.

13. J. Slemrod and S. Yitzhaki. 2002. "Tax Avoidance, Evasion and Administration". In *Handbook of Public Economics, volume III*, ed. by A.J. Auerbach and M. Feldstein.

2.3 Empirical Evidence on Taxation in Low- and Middle-Income Countries

1. F. Amodio, J. Choi, G. De Giorgi, and A. Rahman. 2018. "Bribes vs. Taxes: Market Structure and Incentives". Mimeo: McGill University.

2. Javier Avila-Mahecha and Juliana Londoño-Velez. 2020. "Enforcing Wealth Taxes in the Developing World: Quasi-Experimental Evidence from Colombia". Forthcoming, American Economic Review: Insights.

3. Pablo Balan, Augustin Bergeron, Gabriel Tourek, and Jonathan Weigel. 2021. "Local Elites as State Capacity: How City Chiefs Use Local Information to Increase Tax Compliance in the D.R. Congo". Forthcoming, American Economic Review.

4. **Pierre Bachas, Lucie Gadenne, and Anders Jensen. 2024. "Informality, Consumption Taxes, and Redistribution".** ***Review of Economic Studies*** **91 (5): 2604–2634.**$^{**}(2/17)$

5. Pierre Bachas and Mauricio Soto. 2018. "Not(ch) Your Average Tax System: Corporate Taxation under Weak Enforcement". World Bank Policy Research Working Paper 8524.

6. N Benhassine, V Pouliquen, and M Santini. 2018. "Can Enhancing the Benefits of Formalization Induce Informal Firms to Become Formal? Experimental Evidence from Benin". *Journal of Public Economics* 157:1–14.

7. A. Brockmeyer and M. Hernandez. 2018. "Tacation, Information and Withholding: Evidence from Costa Rica". Mimeo: World Bank.

8. Z. Chen, Z. Liu, J. C. Suarez-Serrato, and D. Xu. 2018. "Notching R&D Investment with Corporate Income Tax Cuts in China". Mimeo: Duke University.

9. Lucie Gadenne, Tushar K. Nandi, and Roland Rathelot. 2020. "Taxation and Supplier Networks: Evidence from India".

10. Y. Gorodnichenko, J. Martinez-Vazquez, and K.S. Peter. 2009. "Myth and Reality of Flat Tax Reform: Micro Estimates of Tax Evasion and Productivity Response in Russia". *Journal of Political Economy* 117:504–554.

11. A Jensen. 2019. "Employment Structure and the Rise of the Modern Tax System". Mimeo: Harvard Kennedy School.

12. R La Porta and A Shleifer. 2014. "Informality and Development". *Journal of Economic Perspectives* 28 (3): 109–126.

13. J Naritomi. 2018. "Consumers as Tax Auditors". Forthcoming, American Economic Review.*(2/17)

14. D. Pomeranz. 2015. "No Taxation without Information: Deterrence and Self-Enforcement in the Value Added Tax". *American Economic Review* 105 (8): 2539–2569.

15. Joel Slemrod, Obeid Ur Rehman, and Mazhar Waseem. 2020. "How do Taxpayers Respond to Public Disclosure and Social Recognition Programs? Evidence from Pakistan". Forthcoming, Review of Economics and Statistics.

16. Gabriel Ulyssea. 2018. "Firms, Informality and Development: Theory and Evidence from Brazil". *American Economic Review* 108 (8): 2015–2047.

17. Jonathan L Weigel. 2020. "The Participation Dividend of Taxation: How Citizens in Congo Engage More with the State When it Tries to Tax Them". *Quarterly Journal of Economics* 135 (4): 1849–1903.

2.4 Tax Policy and Tax Administration

1. M. Chatib Basri, Mayara Felix, Rema Hanna, and Benjamin Olken. 2020. "Tax Administration vs Tax Rates: Evidence from Corporate Taxation in Indonesia". Mimeo: MIT.

2. Augustin Bergeron, Gabriel Tourek, and Jonathan Weigel. 2021. "The State Capacity Ceiling on Tax Rates: Evidence from Randomized Tax Abatements in the DRC". Mimeo: UC Berkeley.*(2/24)

3. **M.C. Best, A. Brockmeyer, H.J. Kleven, J. Spinnewijn, and M. Waseem. 2015. "Production versus Revenue Efficiency with Limited Tax Capacity: Theory and Evidence From Pakistan".** ***Journal of Political Economy*** **123 (6): 1311–1355.****(2/24)

4. Anne Brockmeyer, Alejandro Estefan, Karina Ramírez Arras, and Juan Carlos Suárez Serrato. 2021. "Taxing Property in Developing Countries: Theory and Evidence from Mexico". Mimeo: Duke University.

5. Michael Keen and Joel Slemrod. 2017. "Optimal Tax Administration". *Journal of Public Economics* 152.

2.5 International Taxation and Developing Countries

1. Jørgen Andersen, Niels Johannesen, and Bob Rijkers. 2020. "Elite Capture of Foreign Aid: Evidence from Offshore Bank Accounts". Forthcoming, Journal of Political Economy.

2. Cyril Chalendard, Ana M. Fernandes, Gael Raballand, and Bob Rijkers. 2020. "Technology (Ab)use and Corruption in Customs". Mimeo: World Bank.

3. R Fisman and SJ Wei. 2004. "Tax Rates and Tax Evasion: Evidence from "Missing Imports" in China". *Journal of Political Economy* 112 (2): 471–496.

4. S Sequeira. 2016. "Corruption, Trade Costs, and Gains from Tariff Liberalization: Evidence from Southern Africa". *American Economic Review* 106 (10): 3029–3063.

5. J.C. Suarez-Serrato. 2018. "Unintended Consequences of Eliminating Tax Havens". Mimeo: Duke University.

6. T. R. Tørsløv, Ludvig S. Wier, and Gabriel Zucman. 2018. "The Missing Profits of Nations". NBER W.P 24701.

7. G. Zucman. 2013. "The Missing Wealth of Nations: Are Europe and the U.S. net Debtors or net Creditors?" *Quarterly Journal of Economics* 128 (3): 1321–1364.

8. G. Zucman. 2014. "Taxing Across Borders: Tracking Personal Wealth and Corporate Profits". *Journal of Economic Perspectives* 28 (4): 121–148.

3 Anti-poverty Programs

Targeted transfers to poor household are a huge part of government spending in low- and middle-income countries. How should these programs be designed? Should they be monetary or in-kind transfers? Should they be means-tested? If so, how will eligibility be determined?

3.1 Theory

1. G. Akerlof. 1978. "The Economics of Tagging as Applied to the Optimal Income Tax, Welfare Programs, and Manpower Planning". *American Economic Review* 68 (1): 8–19.

2. P Niehaus, A Atanassova, M Bertrand, and S Mullainathan. 2013. "Targeting with Agents". *American Economic Journal: Economic Policy* 5 (1): 206–238.

3. T. Besley and S. Coate. 1992. "Workfare versus Welfare: Incentive Arguments for Work Requirements in Poverty-Alleviation Programs". *American Economic Review* 82 (1): 249–261.$^{*(3/3)}$

4. M Brewer, E Saez, and A Shephard. 2010. "Means Testing and Tax Rates on Earnings". In *The Mirrlees Review: Reforming the Tax System for the 21st Century*, ed. by J Mirrlees, S Adam, T Besley, R Blundell, S Bond, R Chote, M Gammie, P Johnson, G Myles, and JM Poterba.

5. Janet Currie and Firouz Gahvari. 2008. "Transfers in Cash and In-Kind: Theory Meets the Data". *Journal of Economic Literature* 46, no. 2 (): 333–83. doi:10.1257/jel.46.2.333. https://www.aeaweb.org/articles?id=10.1257/jel.46.2.333.

6. Maitreesh Ghatak and François Maniquet. 2019. "Universal Basic Income: Some Theoretical Aspects". *Annual Review of Economics* 11 (Volume 11, 2019): 895–928. ISSN: 1941-1391. doi:https://doi.org/10.1146/annurev-economics-080218-030220. https://www.annualreviews.org/content/journals/10.1146/annurev-economics-080218-030220.

7. H.J. Kleven and W. Kopczuk. 2011. "Transfer Program Complexity and the Take up of Social Benefits". *American Economic Journal: Economic Policy* 3 (1): 54–90.

8. **A.L. Nichols and R.J. Zeckhauser. 1982. "Targeting Transfers Through Restrictions on Recipients". *American Economic Review* 72 (2): 372–377.**$^{**(3/3)}$

9. E Saez. 2002. "Optimal Income Transfer Programs: Intensive Versus Extensive Labor Supply Responses". *Quarterly Journal of Economics* 117 (3): 1039–1073.

3.2 Evidence from Rich Countries

1. Alexander Bartik, Elizabeth Rhodes, David Broockman, Patrick Krause, Sarah Miller, and Eva Vivalt. 2024. "The Impact of Unconditional Cash Transfers on Consumption and Household Balance Sheets: Experimental Evidence from Two US States". Mimeo: University of Toronto.

2. Marianne P. Bitler, Jonah B. Gelbach, and Hilary W. Hoynes. 2006. "What Mean Impacts Miss: Distributional Effects of Welfare Reform Experiments". *American Economic Review* 96, no. 4 (): 988–1012. doi:10.1257/aer.96.4.988. https://www.aeaweb.org/articles?id=10.1257/aer.96.4.988.

3. M Brewer, E Saez, and A Shephard. 2010. "Means Testing and Tax Rates on Earnings". In *The Mirrlees Review: Reforming the Tax System for the 21st Century*, ed. by J Mirrlees, S Adam, T Besley, R Blundell, S Bond, R Chote, M Gammie, P Johnson, G Myles, and JM Poterba.

4. R Chetty, J Friedman, and E Saez. 2013. "Using Differenes in Knowledge Across Neighborhoods to Uncover the Impacts of the EITC on Earnings". *American Economic Review* 103 (7): 2683–2721.

5. Anna Chorniy, Amy Finkelstein, and Matthew J Notowidigdo. 2025. *Paternalistic Social Assistance: Evidence and Implications from Cash vs. In-Kind Transfers*. Working Paper, Working Paper Series 34506. National Bureau of Economic Research. doi:10.3386/w34506. http://www.nber.org/papers/w34506.

6. Manasi Deshpande and Yue Li. 2019. "Who Is Screened Out? Application Costs and the Targeting of Disability Programs". doi:10.1257/pol.20180076. https://www.aeaweb.org/articles?id=10.1257/pol.20180076.

7. **Amy Finkelstein and Matthew J Notowidigdo. 2019. "Take-Up and Targeting: Experimental Evidence from SNAP*". *The Quarterly Journal of Economics* 134, no. 3 (): 1505–1556. ISSN: 0033-5533. doi:10.1093/qje/qjz013. https://doi.org/10.1093/qje/qjz013.**$^{**(3/10)}$

8. Patrick Krause, Elizabeth Rhodes, Sarah Miller, Alexander Bartik, David Broockman, and Eva Vivalt. 2025. "The Impact of Unconditional Cash Transfers on Parenting and Children". Mimeo: University of Toronto.

9. Sarah Miller, Elizabeth Rhodes, Alexander Bartik, David Broockman, Patrick Krause, and Eva Vivalt. 2024. "Does Income Affect Health? Evidence from a Randomized Controlled Trial of a Guaranteed Income". Mimeo: University of Toronto.$^{*(3/10)}$

10. Charlie Rafkin, Adam Solomon, and Evan Soltas. 2024. "Self-Targeting in U.S. Transfer Programs". Mimeo: Princeton University.

11. J Rothstein. 2010. “Is the EITC as Good as an NIT? Conditional Cash Transfers and Tax Incidence”. *American Economic Journal: Economic Policy* 2 (1): 177–208.

12. E Saez. 2006. “Redistribution Toward Low Incomes in Richer Countries”. Chap. 13 in *Understanding Poverty*, ed. by A Banerjee, R Benabou, and D Mookherjee.

13. Mark Shepard and Myles Wagner. 2025. “Do Ordeals Work for Selection Markets? Evidence from Health Insurance Auto-Enrollment”. Forthcoming, American Economic Review.

14. Eva Vivalt, Elizabeth Rhodes, Alexander Bartik, David Broockman, Patrick Krause, and Sarah Miller. 2025. “The Employment Effects of a Guaranteed Income: Experimental Evidence from Two US States”. Forthcoming: Quarterly Journal of Economics.

3.3 Targeting in Developing Countries

1. V. Alatas, A. Banerjee, R. Hanna, B. Olken, and J. Tobias. 2012. “Targeting the Poor: Evidence from a Field Experiment in Indonesia”. *American Economic Review* 102 (4): 1206–1240.

2. **V. Alatas, A. Banerjee, R. Hanna, B. Olken, M. Wai-Poi, and R. Purnamasari. 2016. “Self Targeting: Evidence From a Field Experiment in Indonesia”. *Journal of Political Economy* 124 (2): 371–427.**$^{**(3/24)}$

3. M Angelucci and G De Giorgi. 2009. “Indirect Effects of an Aid Program: How Do Cash Transfers Affect Ineligibles’ Consumption”. *American Economic Review* 99 (1): 486–508.

4. O Attanasio and V Lechene. 2014. “Efficient Responses to Targeted Cash Transfers”. *Journal of Political Economy* 122 (1): 178–222.

5. A Banerjee, R Hanna, G Kreindler, and B Olken. Forthcoming. “Debunking the Stereotype of the Lazy Welfare Recipient: Evidence from Cash Transfer Programs Worldwide”. *World Bank Research Observer*.

6. A. Banerjee, R. Hanna, B.A. Olken, and S. Sumarto. 2018. "The (lack of) Distortionary Effects of Proxy-Means Tests: Results from a Nationwide Experiment in Indonesia". Mimeo: MIT.

7. Abhijit Banerjee, Amy Finkelstein, Rema Hanna, Benjamin A. Olken, Arianna Ornaghi, and Sudarno Sumarto. 2021. "The Challenges of Universal Health Insurance in Developing Countries: Experimental Evidence from Indonesia's National Health Insurance". *American Economic Review* 111 (9): 3035–63. doi:10.1257/aer.20200523. https://www.aeaweb.org/articles?id=10.1257/aer.20200523.

8. Abhijit Banerjee, Rema Hanna, Benjamin A. Olken, and Diana Sverdlin Lisker. 2024. "Social Protection in the Developing World". *Journal of Economic Literature* 62 (4): 1349–1421.

9. Prabhat Barnwal. 2017. "Curbing Leakage in Public Programs: Evidence from India's Direct Benefit Transfer Policy". Mimeo: Michigan State University.

10. M.P Basurto Preciado, P Dupas, and J Robinson. 2017. "Decentralization and Efficiency of Subsidy Targeting: Evidence from Chiefs in Rural Malawi". Mimeo: Stanford University.

11. F Brollo, K.M. Kaufmann, and E La Ferrara. 2016. "Learning About the Enforcement of Conditional Welfare Programs: Evidence From Brazil". Mimeo: Warwick University.

12. N. Cahyadi, R. Hanna, B.A. Olken, R.A. Prima, E. Satriawan, and E Syamsulhakim. 2018. "Cumulative Impacts of Conditional Cash Transfer Programs: Experimental Evidence from Indonesia". Mimeo: MIT.

13. J Cohen, P Dupas, and S Schaner. 2015. "Price Subsidies, Diagnostic Tests, and Targeting of Malaria Treatment: Evidence from a Randomized Controlled Trial". *American Economic Review* 105 (2): 609–645.$^{*(3/24)}$

14. R Hanna and B.A. Olken. 2018. “Universal Basic Incomes versus Targeted Transfers: Anti-Poverty Programs in Developing Countries”. *Journal of Economic Perspectives* 32 (4): 201–226.

15. Johannes Haushofer, Paul Niehaus, Carlos Paramo, Ted Miguel, and Michael Walker. 2022. “Targeting Impact Versus Deprivation”. Mimeo: UC Berkeley.

16. C Imbert and J Papp. 2015. “Labor Market Effects of Social Programs: Evidence From India’s Employment Guarantee”. *American Economic Journal: Applied Economics* 7 (2): 233–263.

17. Gabriel Leite Mariante. 2025. “Cash Transfers and Women’s Labor Supply: Evidence from the World’s Largest Program”. Mimeo: CUNEF Universidad.

18. S.W. Parker and P.E. Todd. 2017. “Conditional Cash Transfers: The Case of Progresa/Oportunidades”. *Journal of Economic Literature* 55 (3): 866–915.

3.4 Transfer Design

1. S Baird, C McIntosh, and B Ozler. 2011. “Cash or Condition? Evidence from a Cash Transfer Experiment”. *Quarterly Journal of Economics* 126 (4): 1709–1753.

2. Clare Balboni, Oriana Bandiera, Robin Burgess, Maitreesh Ghatak, and Anton Heil. 2021. “Why Do People Stay Poor?” Forthcoming, Quarterly Journal of Economics.

3. Abhijit Banerjee, Esther Duflo, and Garima Sharma. 2021. “Long-Term Effects of the Targeting the Ultra Poor Program”. *American Economic Review: Insights* 3 (4): 471–486.

4. Abhijit Banerjee, Amy Finkelstein, Rema Hanna, Benjamin A. Olken, Arianna Ornaghi, and Sudarno Sumarto. 2021. “The Challenges of Universal Health Insurance in Developing Countries: Experimental

Evidence from Indonesia's National Health Insurance". *American Economic Review* 111 (9): 3035–63. doi:10.1257/aer.20200523. https://www.aeaweb.org/articles?id=10.1257/aer.20200523.

5. Katy Bergstrom and William Dodds. 2021. "The targeting benefit of conditional cash transfers". *Journal of Public Economics* 194:104330.

6. Gharad Bryan, Shyamal Chowdhury, Ahmed Mushfiq Mobarak, Melanie Morten, and Joeri Smits. 2021. "Encouragement and Distortionary Effects of Conditional Cash Transfers". Mimeo: Yale University.

7. Tommaso Crosta, Dean Karlan, Finley Ong, Julius Rüschenpöhler, and Christopher R Udry. 2024. *Unconditional Cash Transfers: A Bayesian Meta-Analysis of Randomized Evaluations in Low and Middle Income Countries*. Working Paper, Working Paper Series 32779. National Bureau of Economic Research. doi:10.3386/w32779. http://www.nber.org/papers/w32779.

8. **J. Cunha, G De Giorgi, and S Jayachandran. 2017. "The Price Effects of Cash Versus In-Kind Transfers". Mimeo: Northwestern University.**$^{**(3/31)}$

9. Dennis Egger, Johannes Haushofer, Ted Miguel, Paul Niehaus, and Michael Walker. 2022. "General Equilibrium Effects of Cash Transfers: Experimental Evidence from Kenya". *Econometrica* 90 (6): 2603–2643.

10. Lucie Gadenne, Samuel Norris, Monica Singhal, and Sandip Sukhtankar. 2024. "In-Kind Transfers as Insurance". *American Economic Review* 114 (9): 2861–97. doi:10.1257/aer.20220822. https://www.aeaweb.org/articles?id=10.1257/aer.20220822.

11. Francois Gerard, Joana Naritomi, and Joana Silva. 2025. "Cash Transfers and Formal Labor Markets: Evidence from Brazil". Forthcoming: Econometrica.

12. Rema Hanna and Benjamin A. Olken (eds). 2026. *The Handbook of Social Protection: Evidence and New Directions for Low- and Middle-Income*

Countries. Ed. by Rema Hanna and Benjamin A. Olken (eds). The MIT Press.

13. Edward Jee. 2025. "Traps and Transfers". Mimeo: University of Chicago.*(3/31)

14. Michael W Walker, Nick Shankar, Edward Miguel, Dennis Egger, and Grady Killeen. 2025. *Can Cash Transfers Save Lives? Evidence from a Large-Scale Experiment in Kenya*. Working Paper, Working Paper Series 34152. National Bureau of Economic Research. doi:10.3386/w34152. http://www.nber.org/papers/w34152.

4 The Personnel Economics of the State

The government is the largest employer in most countries, but public service delivery is notoriously inefficient. How can governments attract honest, capable and motivated workers? How will the government monitor and incentivize their workers?

4.1 Theory

1. P Aghion and J Tirole. 1997. "Formal and Real Authority in Organizations". *Journal of Political Economy* 105 (1): 1–29.

2. A Banerjee, R Hanna, and S Mullainathan. 2012. "Corruption". Chap. 27 in *Handbook of Organizational Economics*, 1109–1147.

3. **R Benabou and J Tirole. 2006. "Incentives and Prosocial Behavior". *American Economic Review* 96 (5): 1652–1678.**(4/7)

4. T Besley and M Ghatak. 2005. "Competition and Incentives with Prosocial Agents". *American Economic Review* 95 (3): 616–636.

5. Timothy Besley and Torsten Persson. 2022. "Organizational dynamics: culture, design, and performance". *The Journal of Law, Economics, and Organization* 40, no. 2 (): 394–415. ISSN: 8756-6222. doi:10.1093/jleo/ewac020. eprint: https://academic.oup.com/jleo/article-

pdf/40/2/394/58291818/ewac020.pdf. https://doi.org/10.1093/jleo/ewac020.*(4/7)

6. E Lazear and P Oyer. 2012. "Personnel Economics". In *Handbook of Organizational Economics*, ed. by R Gibbons and J Roberts, 479–519.

7. B Olken and R Pande. 2012. "Corruption in Developing Countries". *Annual Review of Economics* 4:479–509.

8. C Prendergast. 2003. "The Limits of Bureaucratic Efficiency". *Journal of Political Economy* 111 (5): 929–958.

9. C Prendergast. 2007. "The Motivation and Bias of Bureaucrats". *American Economic Review* 97 (1): 180–196.

10. Andrei Shleifer and Robert W. Vishny. 1993. "Corruption". *Quarterly Journal of Economics* 108 (3): 599–617.

4.2 Financial Incentives

1. Marianne Bertrand, Simeon Djankov, Rema Hanna, and Sendhil Mullainathan. 2007. "Obtaining a Driving License in India: An Experimental Approach to Studying Corruption". *Quarterly Journal of Economics* 122 (4): 1639–1676.

2.

3. Christina Brown and Tahir Andrabi. 2021. "Inducing Positive Sorting through Performance Pay: Experimental Evidence from Pakistani Schools". Mimeo: University of Chicago.*(4/14)

4. N Chaudhury, J Hammer, M Kremer, K Muralidharan, and F. Halsey Rogers. 2006. "Missing in Action: Teacher and Health Worker Absence in Developing Countries". *Journal of Economic Perspectives* 20 (1): 91–116.

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